25900799 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Multi-Disciplinary Courses (MDC) - MG1MDCECO100 - ECONOMICS AND FINANCE IN EVERYDAY LIFE

(2024 ADMISSION ONWARDS)

Duration: 1.5 Hours **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Short Answer Questions

Answer any **10** out of **15** Questions

Each Question carries **2** marks

1. Define PACED Model. [K] / [CO1]
2. Define cognitive biases and explain their relevance in financial and economic decision-making. [K] / [CO1]
3. Identify the components of total cost. [K] / [CO1]
4. List out the importance of time value of Money. [U] / [CO2]
5. Define Eisenhower Matrix [K] / [CO3, CO4]
6. Why is it important to address social engineering issues? [U] / [CO4]
7. Describe how CIBIL helps Bank and Financial Institutions. [U] / [CO6]
8. Discuss diversification in investment? [U] / [CO6]

9. Define Economics and its scope. [K] / [CO1]

10. What is meant by informed decisions in economics? [K] / [CO1]

11. Define Annual rate of return. [U] / [CO2]

12. Write any two situations where it is better to invest than save. [U] / [CO5, CO6]

13. What is a Ponzi scheme? [K] / [CO4]

14. Define Personal Loans. [K] / [CO6]

15. Examine the utility of virtual trading. [U] / [CO6]

[10x2 = 20]

Part B

Short Essay Type Questions

Answer any **6** Questions

Each Question carries **5** marks

16. Examine the role of different heuristics in financial decisions under uncertainty. Analyze how reliance on heuristics can lead to both good and bad financial outcomes. [E] / [CO1]

17. Evaluate the benefits of human capital formation. [An] / [CO1]

18. Analyze how does mental accounting affect financial decision making? [A] / [CO1]

19. What are the methods used in Neuroeconomics. [K] / [CO2]

20. Examine the various negative impacts the Impulsive buying behaviour will have on the personal finance [U] / [CO3, CO4]

21. Examine the key components of the Prospect theory [U] / [CO3, CO4]

22. Discuss the relationship between rate of interest and savings. [K] / [CO5, CO6]

23. Explain the different functions of securities market. [U] / [CO6]

24. Discuss the key ratios for the assessment of common stocks. [K] / [CO6]

25. Compare the advantages and disadvantages of credit cards. [U] / [CO6]

[6x5 = 30]